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COUNTERPOINT · SMALL BUSINESS PROGRAMS

The Limitation on Subcontracting Is a Ledger You Owe on Demand

FAR 52.219-14 and 13 CFR 125.6 are enforced at contract close, mostly through the past-performance rating. What a small SDVOSB prime must be able to show.

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READING TIME · 6 MIN
LIMITATIONS-ON-SUBCONTRACTING · SDVOSB · SET-ASIDES · PAST-PERFORMANCE · FEDERAL-CONTRACTING

Most small primes think of the limitation on subcontracting as a promise made at proposal and a $500,000 fine that hangs over them if they lie. Both are real, and neither is how the rule usually arrives. It arrives at the end of a period of performance, when a contracting officer asks for numbers, and it is enforced most often through a past-performance rating rather than a prosecution. The firm that cannot produce the numbers on that day has lost the argument before it starts, whatever the true split was.

MacZine has already covered the teaming side of this rule: why the workshare in a teaming agreement is the weakest paper in the stack and what a subcontractor should demand (Issue 61). This piece is about the other document, the one the prime keeps for itself during performance, and why it should be built on the first invoice rather than reconstructed after the last.

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LIMITATIONS ON SUBCONTRACTING

The penalty most primes will actually meet

The rule itself is short. Under 13 CFR 125.6(a), a small business that wins a set-aside, or an SDVOSB or VOSB contract, agrees that on a services contract "it will not pay more than 50% of the amount paid by the government to it to firms that are not similarly situated." General construction carries an 85 percent cap and special trade work 75 percent, both with the cost of materials excluded; supplies are held to 50 percent, materials again excluded. FAR 52.219-14 says the same in contract language, and VA puts it into a signed certificate under VAAR 852.219-75 that must come back with the offer, or the offer is ineligible.

The fine is in paragraph (h). The machinery that usually runs is in paragraph (e). When an agency finds at the conclusion of performance that the limit was not met, it must notify the firm and let it explain. If the firm offers no extenuating circumstances, or the miss was within its control, the agency "may not give a satisfactory or higher past performance rating" on the relevant factor. A contracting officer can still rate it satisfactory, but only with a written finding of extenuating circumstances and the concurrence of someone at least one level up.

For a small SDVOSB that lives on its record, a capped rating can cost more than the fine would. It follows the firm into every later source selection, and it lands in CPARS, where the contractor gets one short window to comment, and the answer is only as good as the file behind it. Compliance is also, under 125.6(d)(2), "an element of responsibility and not a component of size eligibility." That means it is not litigated as a size protest at award. It is weighed by the next contracting officer deciding whether you are a firm that can be trusted with the next one.

50%
OF THE AMOUNT THE GOVERNMENT PAYS A SERVICES PRIME, THE MOST IT MAY PAY TO FIRMS THAT ARE NOT SIMILARLY SITUATED

85%
THE CAP FOR GENERAL CONSTRUCTION, 75 PERCENT FOR SPECIAL TRADES, WITH THE COST OF MATERIALS EXCLUDED IN BOTH

7
EXTENUATING CIRCUMSTANCES 13 CFR 125.6(E) NAMES THAT CAN RESCUE A SATISFACTORY RATING AFTER A MISS

The rule is measured at the end of performance, but it can only be proven from the beginning.

The numerator hides in payroll, not in the subcontract list

Ask a small prime what it subcontracts and it will name its teammates. The regulation counts more than that, and the surprises are in how the prime pays its own people.

An independent contractor is a subcontractor. Paragraph (d)(3) says so plainly, and 52.219-14 repeats it. The cleared engineer on a 1099 who has worked beside your staff for three years counts on the wrong side of the line unless that individual is itself a similarly situated entity, which for an SDVOSB contract means a certified SDVOSB that is small under the subcontract's NAICS code. The same paragraph treats workers obtained through a temporary agency, a professional employer organization or a leasing concern as the prime's own self-performance, except on staffing contracts. Two people doing identical work on the same task order can land on opposite sides of the calculation because of the paperwork behind their paychecks.

A similarly situated teammate is the larger lever and the more fragile one. Under 125.6(c), dollars paid to a certified SDVOSB sub stay off the prime's subcontracted side only to the extent that sub performs with its own employees; whatever it passes to a second tier counts against the prime. And the protection ends when the sub stops qualifying: a prime "may no longer count a similarly situated entity" once it ceases to be small or loses its status. A teammate's acquisition, a size-standard change or a lapsed VetCert certification can move its dollars across the line in the middle of an option year.

Suppose a services task order pays $2 million in a period. The prime may pay no more than $1 million to firms that are not similarly situated. If $700,000 goes to a large-business teammate and $500,000 to a certified SDVOSB teammate, the prime looks safe. If that SDVOSB teammate sends $350,000 of its share to its own large-business sub, the prime has paid $1,050,000 outside the line, and it would not know unless it asked.

◆ WHICH TEXT GOVERNS YOUR CONTRACT

The FAR clause in most contracts is still 52.219-14 (Oct 2022), and the overhauled Part 19 prescribes it at 19.104-3(c). SBA's own rule at 13 CFR 125.6(a)(1), last amended in December 2024, lets certain other direct costs, such as airline travel and cloud computing services, drop out of the services math when they are not the point of the buy. The FAR clause text does not list that exclusion. VA contracts add VAAR 852.219-75, a signed certificate of compliance due with the offer. Read the clause your contract actually carries.

◆ WHY THE DENOMINATOR IS DOLLARS PAID

Section 1651 of the FY2013 NDAA, codified at 15 U.S.C. 657s, moved the calculation from a share of the prime's personnel costs to a share of what the government pays. The FAR caught up in a final rule effective September 10, 2021. Older guidance written in terms of labor cost is describing a rule that no longer exists.

Measure it the way the contracting officer will

Compliance is measured over the base term and then each option period, under 125.6(d). On a multi-agency set-aside vehicle, each ordering agency measures order by order and should tell the parent contracting officer about a known miss. The contracting officer on any set-aside may also require compliance order by order, and the clause's paragraph (f) is where that choice is checked. A prime that tracks only the life of the contract is measuring a period nobody will audit.

The rule also says what the file should look like. Paragraph (f)(4) lets a contracting officer demand proof "at any time during performance and upon completion," and names the evidence: invoices, copies of subcontracts, or a list of the value of tasks performed. VA's clause uses nearly identical words and adds that the certificate is a statement subject to 18 U.S.C. 1001.

So the file is not exotic. It is a ledger, kept per period or per order, that starts with amounts actually paid by the government and sorts every outbound dollar by payee: W-2 employee, leased or PEO worker, 1099 contractor, similarly situated sub, everyone else. Beside it sit the documents that make each classification defensible: each counted teammate's certification and size status as of the subcontract date, re-checked at each option; a written representation from that teammate about its own lower-tier subcontracting; and, where the contract carries SBA's other-direct-cost exclusion, a note on why each excluded cost qualifies.

The last part of the file is the one firms skip. The seven circumstances listed in 125.6(e)(2)(i), including unforeseen labor shortages, government-directed scope changes, emergency subcontracting, a sub's unexpected loss of status and good-faith reliance on a sub's representation, are only useful if they were written down when they happened. An explanation assembled after the agency's notice reads as an excuse. A dated memo written the week the government changed the scope reads as a record. This is the same discipline as a job-cost system that survives a DCAA review: the categories are set before the money moves, not after.

Which brings the rule back to where it started. A small prime does not get to choose whether its split is examined; it only gets to choose whether the answer is a spreadsheet it already has or a reconstruction it hopes will hold. The first costs an hour a month. The second is built in the two weeks after a contracting officer's letter, by people who no longer remember why a 1099 was signed in 2024, and it is graded by someone who has already been told what the number should have been. ◆